

EXPANDING CAPACITY

• The investment pipeline is unprecedented, but even with 38,000 new beds, India's hospital capacity will be below global benchmarks

METRIC	KEY NUMBER
↗ Capital raised since FY22	₹55,000–60,000 crore
↗ Planned investment	₹40,000 crore
↗ Planned new beds	38,000+
↗ Hospital beds/1,000 population	1.3
↗ Health insurance coverage	55+ crore people
↗ Ayushman Cards	43.5+ crore

SOURCE CRISIL RATINGS, MINISTRY OF HEALTH & FAMILY WELFARE, NATIONAL HEALTH AUTHORITY (AB-PMJAY).

WHO IS ADDING THE MOST BEDS

• India's largest hospital chains are embarking on an aggressive capacity expansion, with listed players leading the race in both metro and non-metro markets

GROUP	BEDS
↗ Max Healthcare	6,500-10,000+
↗ Apollo Hospitals	4,400
↗ Medanta	2,950
↗ HCG	1,000
↗ Paras Health	800

SOURCE COMPANY ANNOUNCEMENTS, IPO FILINGS, ANNUAL REPORTS

CAPITAL FLOWS IN

• Strong investor interest and premium market valuations are making hospitals one of India's fastest-growing healthcare investment themes

METRIC	VALUE
↗ Hospital market FY24	₹10.5 lakh crore
↗ FY32 projection	₹16.6 lakh crore
↗ CAGR	8%
↗ Nifty Healthcare (5 yrs)	90%

SOURCE IBEF, NSE, EY-PARTHENON

cluded. "I don't see how these 6,000 or 8,000 beds in the National Capital Region are going to be enough," he says.

THE COST OF CARE

Greater insurance coverage has widened access to healthcare but has coincided with a rise in treatment costs. According to Milliman India's 2025 report, medical inflation is 12-14%, well above most Asian markets and roughly three times India's general inflation. A procedure that cost ₹1-1.5 lakh in 2018 now costs ₹2-3 lakh. NSSO data shows average private in-patient expenditure rose 239% from ₹12,546 in 2010 to ₹42,600 in 2023. In fact, a parliamentary panel has proposed a cap on room rates in private hospitals in big cities.

The strain shows up in the insurance sector. Milliman India's report shows the incurred claim ratio for public sector insurers reached 100.6% in FY25, meaning claims exceeded premium collections. Insurers have responded by raising premiums by 15-20%. Meanwhile, out-of-pocket spending still accounts for 39.4% of India's total health expenditure, according to the Economic Survey 2024-25, while NITI Aayog says nearly 400 million Indians are uninsured.

"We are investing in faster claim processing, wider cashless network of healthcare providers, and greater transparency in waiting periods and exclusions, so that policyholders receive the care they deserve. We're also deepening our presence & distribution in Tier II and III cities," says Manish Dodeja, Executive Director & Chief Business Officer, Care Health Insurance. | 23

Hospitals say rising treatment costs are only one part of the problem. They also point to delays in reimbursements from insurers and government health schemes. Dr Ashok Seth, Chairman of Fortis Escorts Heart Institute, says the next phase of health financing must move beyond expanding insurance coverage to ensuring that reimbursement supports quality care. Earlier this year, several private hospitals suspended cashless treatment for beneficiaries under the Central Government Health Scheme citing dues worth hundreds of crores.

Krishnan Ramachandran, Managing Director and CEO, Niva Bupa Health Insurance, says insurers are working on three initiatives to improve affordability and standardise care—awareness campaigns, a common empanelment framework and evidence-based treatment protocols. "The second important initiative, which we believe will make insurance more affordable, is a common empanelment initiative. The objective is to have common agreements as well as